

Delinquent History of a Fictitious Auto Loan Owner: Customer #9888312

Introduction Customer #9888312 is a 45-year-old warehouse forklift operator living in Spokane, Washington. In March 2022, he financed a used crossover SUV through Northwest Horizon Auto Credit. The loan totaled \$20,900 with a six-year term and a 7.0% interest rate. This document outlines his payment history, financial setbacks, delinquency pattern, and final resolution.

Early Loan Performance From March 2022 through April 2023, Customer #9888312 made every payment on time. His monthly payment of \$352 was supported by stable full-time employment and occasional overtime. His credit score increased from 642 to 668.

Unexpected Household Burden In May 2023, his teenage son moved in with him unexpectedly after a custody change. Monthly expenses quickly increased due to: - Additional groceries - Increased utility usage - Transportation costs for school activities - Rising insurance premiums

Despite the added strain, the customer made payments through June but began relying heavily on credit cards.

Job-Related Injury In August 2023, he experienced a lower back injury at work and was placed on reduced duty. His income decreased significantly because overtime was no longer available. He missed his first payment in September.

Northwest Horizon Auto Credit granted a one-month deferment, moving the September payment to the end of the loan. He resumed payments in October but fell behind again in November and December due to medical bills and reduced wages.

Hardship Plan Attempt In January 2024, the lender offered a hardship plan: - Four months of \$200 payments - Interest and remaining balance deferred - Credit reporting marked as "temporary hardship program"

Customer #9888312 made the January and February hardship payments but missed March and April due to continued medical limitations and lower-than-expected disability coverage.

Delinquency Escalation By May 2024, the account was 90+ days delinquent. Collection agents made multiple contact attempts. The customer indicated he wanted to keep the vehicle but could no longer manage the payments with ongoing physical therapy expenses and a reduced work schedule.

Repossession After 120+ days of delinquency, repossession was authorized. The vehicle was recovered in June 2024.

Auction and Deficiency The vehicle sold at auction for \$11,300. After applying the sale proceeds, fees, and remaining interest, the deficiency balance totaled \$4,450. Required notices were provided to the borrower outlining repayment and settlement options.

Settlement and Financial Recovery In September 2024, after being cleared to return to full-duty work, Customer #9888312 contacted the lender and disclosed that he had regained full income and was receiving partial reimbursement for medical expenses. Northwest Horizon Auto Credit offered a settlement: - \$1,850 paid over 10 months - Remaining balance forgiven upon completion

The customer completed the settlement in July 2025. His credit report now reflects the account as "Settled – Less Than Full Balance."

Analysis and Lessons Learned Customer #9888312's delinquency stemmed primarily from: - A sudden increase in household expenses - A job-related injury reducing income - Unexpected medical costs - Heavy reliance on credit cards to cover essentials

Northwest Horizon Auto Credit followed appropriate servicing guidelines, offering deferments, hardship options, and a fair post-repossession settlement.

Conclusion This case demonstrates how injury-related income disruption and sudden household changes can destabilize even reliable borrowers. With continued communication and flexible lender options, distressed accounts can still reach practical, mutually beneficial resolutions.